

Clark County, Arkansas

Regulatory Basis Financial Statements and Other Reports

December 31, 2010

LEGISLATIVE JOINT AUDITING COMMITTEE



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Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2010, as listed in the table of contents. These financial statements are the responsibility of the County's management. Our responsibility is to express opinions on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinions.

As described more fully in Note 1(B and C), the County has prepared these financial statements using accounting practices prescribed or permitted by Arkansas Code, which practices differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

In our opinion, because of the effects of the matter discussed in the preceding paragraph, the financial statements referred to above do not present fairly, in conformity with accounting principles generally accepted in the United States of America, the financial position of Clark County, Arkansas, as of December 31, 2010, or the changes in its financial position or where applicable, its cash flows, thereof for the year then ended. Further, the County has not presented a management's discussion and analysis that accounting principles generally accepted in the United States has determined is necessary to supplement, although not required to be part of, the basic financial statements.

The financial statements referred to above do not disclose all the required information concerning deposit risks, which should be included in order to conform with the regulatory basis of accounting described in Note 1(C).

In our opinion, except for the effects on the financial statements of the omission described in the preceding paragraph, the financial statements referred to above present fairly, in all material respects, the respective regulatory basis financial position of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of December 31, 2010, and the respective changes in the regulatory basis financial position, and the budgetary results for the general fund and road fund for the year then ended on the basis of accounting as described in Note 1(C).

In accordance with *Government Auditing Standards*, we have also issued our report dated September 13, 2011 on our consideration of the County's internal control over financial reporting and our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements of Clark County, Arkansas. The accompanying financial information listed as supporting schedules in the table of contents is presented for purposes of additional analysis and is not a required part of the financial statements of Clark County, Arkansas. Such information has been subjected to the auditing procedures applied in the audit of the financial statements and, in our opinion, except for the effects on the financial information in the supporting schedules of the omission described above, such information is fairly stated in all material respects in relation to the financial statements taken as a whole. The supplementary information in the Schedule of Capital Assets required by the regulatory basis of presentation and the Schedule of Selected Information for the Last Five Years as listed in the table of contents as Schedules 3 and 4 are presented for the purpose of additional analysis. We have not applied auditing procedures to this information and, accordingly, we express no opinion on these schedules.

DIVISION OF LEGISLATIVE AUDIT

A handwritten signature in black ink, reading "Roger A. Norman". The signature is fluid and cursive, with the first name "Roger" being more prominent and the last name "Norman" following in a similar style.

Roger A. Norman, JD, CPA, CFE
Legislative Auditor

Little Rock, Arkansas
September 13, 2011
LOCO01010

Sen. Bill Pritchard
Senate Chair
Rep. Tim Summers
House Chair
Sen. David Wyatt
Senate Vice Chair
Rep. Toni Bradford
House Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING, COMPLIANCE AND OTHER MATTERS, AND OTHER ISSUES BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2010, and have issued our report thereon dated September 13, 2011. We issued an adverse opinion because the County prepared the financial statements using accounting practices prescribed or permitted by Arkansas Code, which differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the basis of accounting described in Note 1(C), our opinions on the general fund, road fund, and other funds in the aggregate were qualified because required disclosures were not made concerning deposit risks. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered the County's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the County's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the County's internal control over financial reporting.

Our consideration of internal control over financial reporting was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control over financial reporting that might be significant deficiencies or material weaknesses and therefore, there can be no assurance that all deficiencies, significant deficiencies, or material weaknesses have been identified. However, as discussed below, we identified a certain deficiency in internal control over financial reporting that we consider to be a material weakness.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the County's financial statements will not be prevented, or detected and corrected on a timely basis. We consider the following deficiency to be a material weakness:

2010-1 To ensure the proper safeguarding of assets, financial accounting duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions should be distributed among appropriate employees. The County officials, as specified in the Other Issues section of this report, did not segregate these duties to sufficiently reduce the risks of fraud or error and properly safeguard the County's assets, because of limited financial resources. We recommend that the financial accounting duties in each office be segregated among employees to the extent possible.

The County officials, as specified in the Other Issues section of this report, responded and indicated that their offices will segregate the duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions to the extent possible with the current staffing levels.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the County's financial statements are free of material misstatement, we performed tests of the County's compliance with certain provisions of the state constitution, laws, regulations, and contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

The County's response to the findings identified in our audit is described above. We did not audit the County's response and, accordingly, we express no opinion on it.

Other Issues

The following issues are not significant deficiencies, material weaknesses, or material instances of noncompliance, but are issues that are presented to assist in the efficient operation of the County.

The commentary contained in this section relates to the following officials that held office during 2010:

County Judge: Ron Daniell
Treasurer: Judy Beth Hutcherson
Sheriff and Tax Collector: David Turner
County Clerk: Rhonda Cole
Circuit Clerk: Martha Smith
County Librarian: Judy Golden

Our audit procedures indicated that the Offices of **County Judge, Tax Collector, Circuit Clerk, Treasurer, County Clerk, and County Librarian** were in substantial compliance with Arkansas fiscal and financial laws. Noncompliance with state law and accepted accounting practices was noted in the Office of the **Sheriff**.

The following information system weaknesses were discovered during our review of computer processing:

Sheriff

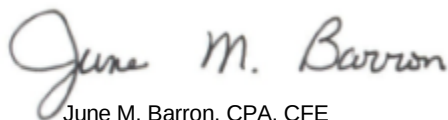
Password controls again did not meet minimum standards. The minimum number of characters required in passwords was below industry standards. Passwords were not required to be changed on a periodic, recurring basis not to exceed 90 days. Passwords were not required to contain a mixture of alpha and numeric characters. A password history file was not maintained to prevent re-use of previous passwords and user accounts were not locked after three unsuccessful logon attempts. Failure to establish proper password controls increases the likelihood that an unauthorized person could gain access to the system.

Backups again were not stored at a suitable off-site facility. Failing to maintain backups at a secure off-site facility could result in loss of data and the inability to continue operations in the event of a disaster.

There again was no formally documented and approved Disaster Recovery Plan. This situation could cause the entity to be without computer processing for an extended period of time in the event of a disaster or major interruption and could place undue financial and personnel burdens on the resources of the entity.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, the federal awarding agencies, and pass-through entities, if applicable, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

DIVISION OF LEGISLATIVE AUDIT



June M. Barron, CPA, CFE
Deputy Legislative Auditor

Little Rock, Arkansas
September 13, 2011

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2010

Exhibit A

	General	Road	Other Funds in the Aggregate
ASSETS			
Cash and cash equivalents	\$ 835,141	\$ 3,638,115	\$ 4,755,398
Accounts receivable	<u>532,236</u>	<u>227,019</u>	<u>192,045</u>
 TOTAL ASSETS	 <u><u>\$ 1,367,377</u></u>	 <u><u>\$ 3,865,134</u></u>	 <u><u>\$ 4,947,443</u></u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 34,759	\$ 60,657	\$ 39,481
Settlements pending	<u>14,824</u>	<u></u>	<u>818,857</u>
Total Liabilities	<u><u>49,583</u></u>	<u><u>60,657</u></u>	<u><u>858,338</u></u>
Fund Balances:			
Reserved (Note 7)	2,262	3,804,477	4,089,105
Unreserved:			
Designated (Note 8)	387,306		
Undesignated	<u>928,226</u>	<u></u>	<u></u>
Total Fund Balances	<u><u>1,317,794</u></u>	<u><u>3,804,477</u></u>	<u><u>4,089,105</u></u>
 TOTAL LIABILITIES AND FUND BALANCES	 <u><u>\$ 1,367,377</u></u>	 <u><u>\$ 3,865,134</u></u>	 <u><u>\$ 4,947,443</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2010

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 644,021	\$ 1,156,054	\$ 144,584
Federal aid	53,685	297,412	48,271
Property taxes	414,198	177,803	536,814
Sales taxes	1,308,116	1,280,863	136,261
Fines, forfeitures, and costs	349,976		160,517
Interest	9,933	47,343	52,123
Officers' fees	39,044		146,551
911 Surcharges			230,444
Sanitation fees			454,208
Prisoner care	125,103		
Treasurer's commission	118,700		18,250
Collector's commission	137,491		44,321
Taxes apportioned - Assessor's salary and expense	274,148		
Other	398,150	43,172	185,097
 TOTAL REVENUES	 3,872,565	 3,002,647	 2,157,441
 Less: Treasurer's commission	 51,904	 37,127	 27,731
 NET REVENUES	 3,820,661	 2,965,520	 2,129,710
EXPENDITURES			
Current:			
General government	1,535,674		259,021
Law enforcement	2,170,319		139,055
Highways and streets		2,524,205	
Public safety	92,609		262,532
Sanitation			781,147
Health	67,753		
Recreation and culture	18,000		277,741
Social services	69,857		
 TOTAL EXPENDITURES	 3,954,212	 2,524,205	 1,719,496

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2010

Exhibit B

	<u>General</u>	<u>Road</u>	<u>Other Funds in the Aggregate</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (133,551)</u>	<u>\$ 441,315</u>	<u>\$ 410,214</u>
OTHER FINANCING SOURCES (USES)			
Transfers in	1,162		
Transfers out	<u> </u>		<u>(1,162)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>1,162</u>		<u>(1,162)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(132,389)	441,315	409,052
FUND BALANCES - JANUARY 1	<u>1,450,183</u>	<u>3,363,162</u>	<u>3,680,053</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 1,317,794</u></u>	<u><u>\$ 3,804,477</u></u>	<u><u>\$ 4,089,105</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2010

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 477,747	\$ 644,021	\$ 166,274	\$ 1,053,000	\$ 1,156,054	\$ 103,054
Federal aid	8,264	53,685	45,421	312,433	297,412	(15,021)
Property taxes	468,000	414,198	(53,802)	190,000	177,803	(12,197)
Sales taxes	1,430,000	1,308,116	(121,884)	1,400,000	1,280,863	(119,137)
Fines, forfeitures, and costs	390,500	349,976	(40,524)			
Interest	25,000	9,933	(15,067)	80,000	47,343	(32,657)
Officers' fees	55,000	39,044	(15,956)			
Prisoner care	70,000	125,103	55,103			
Treasurer's commission	110,000	118,700	8,700			
Collector's commission	85,000	137,491	52,491			
Taxes apportioned - Assessor's salary and expense	500,000	274,148	(225,852)			
Other	631,401	398,150	(233,251)	81,885	43,172	(38,713)
TOTAL REVENUES	4,250,912	3,872,565	(378,347)	3,117,318	3,002,647	(114,671)
Less: Treasurer's commission		51,904	(51,904)		37,127	(37,127)
NET REVENUES	4,250,912	3,820,661	(430,251)	3,117,318	2,965,520	(151,798)
EXPENDITURES						
Current:						
General government	1,707,214	1,535,674	171,540			
Law enforcement	2,309,573	2,170,319	139,254			
Highways and streets				3,551,348	2,524,205	1,027,143
Public safety	109,091	92,609	16,482			
Health	68,317	67,753	564			
Recreation and culture	18,000	18,000				
Social services	72,349	69,857	2,492			
TOTAL EXPENDITURES	4,284,544	3,954,212	330,332	3,551,348	2,524,205	1,027,143

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2010

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (33,632)</u>	<u>\$ (133,551)</u>	<u>\$ (99,919)</u>	<u>\$ (434,030)</u>	<u>\$ 441,315</u>	<u>\$ 875,345</u>
OTHER FINANCING SOURCES (USES)						
Transfers in	67,250	1,162	(66,088)			
Transfers out	<u>(5,600)</u>		<u>5,600</u>			
TOTAL OTHER FINANCING SOURCES (USES)	<u>61,650</u>	<u>1,162</u>	<u>(60,488)</u>			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	28,018	(132,389)	(160,407)	(434,030)	441,315	875,345
FUND BALANCES - JANUARY 1	<u>1,000,000</u>	<u>1,450,183</u>	<u>450,183</u>	<u>3,500,000</u>	<u>3,363,162</u>	<u>(136,838)</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 1,028,018</u></u>	<u><u>\$ 1,317,794</u></u>	<u><u>\$ 289,776</u></u>	<u><u>\$ 3,065,970</u></u>	<u><u>\$ 3,804,477</u></u>	<u><u>\$ 738,507</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 1: Summary of Significant Accounting Policies

A. Financial Reporting Entity

The County is a political subdivision of the state governed by an elected quorum court. The reporting entity includes all the funds of the County.

B. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Arkansas Code. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is the primary operating fund and is used to account for all financial resources, except those required to be accounted for in another fund. The General Fund heading as it appears in the financial statements includes the following accounts: General, Various Fire Departments, Courthouse Annex, and Local Emergency Planning.

Road Fund - The Road Fund is used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for maintaining and constructing county roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. The following Special Revenue Funds are reported with other funds in the aggregate: Office of Emergency Services, Clark County Marina, Indigent Investigator, Indigent Defense, County Recorder's Cost, Support Collection Cost, Juvenile Probation, Boating Safety, Breathalyzer, District Court Cost, Victim/Witness, Emergency 911, Sheriff's Drug Control, Disaster Recovery, Juvenile Work Supervision, Treasurer's Automation, Assessor Amendment no. 79, Mobile Emergency Operations, District Court Jail Fee, Local Law Enforcement Block Grant, Sanitation, Collector's Automation, County Clerk's Cost, District Court Automation, Fire Department Library Grant, Circuit Court Automation, Jail Construction, Jail Maintenance, Danfoss Arkansas Community and Economic Development (ACED) Grant, Drug Enforcement, H & P Sales Grant, Clark County Business Park Grant, County Public Library, and Communication Facility and Equipment.

Agency Funds - Agency Funds are used to account for assets held by the entity as an agent for individuals, private organizations, other governmental units, and other funds. The following Agency Funds are reported with other funds in the aggregate: Treasurer – Treasurer's Commission, Collector's Commission, General School, Law Library, Okolona School District, Improvement Tax, and City of Whelen Springs - General; Tax Collector – Current Tax, Delinquent Tax, and Credit Card; Sheriff – Bond and Fine, Fees, and Circuit Bond; County Clerk – Fee and Trust; Circuit Clerk – Fee and Trust; and County Judge – Sanitation.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 1: Summary of Significant Accounting Policies (Continued)

C. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Arkansas Code. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

D. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts and certificates of deposit.

Settlements Pending

Settlements pending are considered property taxes, fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance

1. Reserved Fund Balance indicates that portion of fund balance that is not appropriable for expenditure or is legally segregated for a specific future use.
2. Designated Fund Balance indicates that portion of fund balance for which the entity has made tentative plans for financial resource utilization in a future period.
3. Undesignated Fund Balance indicates that portion of fund balance not reserved or designated.

E. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 10.

F. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other Special Revenue Funds.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 2: Cash

Deposit risks related to credit risk, concentration of credit risk, interest rate risk, and foreign currency risk have not been provided as required by Governmental Accounting Standards Board Statement no. 40.

NOTE 3: Legal or Contractual Provisions for Deposits and Investments

State law generally requires that county funds be deposited in federally insured banks located in the State of Arkansas. The County deposits may be in the form of checking accounts, savings accounts, and/or time deposits. Public funds may also be invested in direct obligations of the United States of America and obligations the principal and interest on which are fully guaranteed by the United States of America.

NOTE 4: Accounts Receivable

The accounts receivable balance at December 31, 2010 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
State aid	\$ 91,603	\$ 105,767	\$ 27,137
Federal aid		605	6,869
Property taxes	15,791	6,277	18,639
Sales taxes	101,043	98,938	10,525
Fines, forfeitures, and costs	17,892		7,474
Officers' fees	2,794		9,384
Prisoner care	6,468		
Sanitation fees			30,721
911 Surcharges			6,672
Treasurer's Commission	118,857	15,092	12,667
Collector's Commission	137,491		44,321
Transfers			6,073
Other	40,297	340	11,563
Totals	<u>\$ 532,236</u>	<u>\$ 227,019</u>	<u>\$ 192,045</u>

NOTE 5: Accounts Payable

The accounts payable balance at December 31, 2010 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Vendor payables	<u>\$ 34,759</u>	<u>\$ 60,657</u>	<u>\$ 39,481</u>

NOTE 6: Legal Debt Limit

A. Property Tax Secured Bonded Debt

The County is subject to a constitutional limitation for bonded indebtedness equal to 10% of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2010, the legal debt limit for bonded debt was \$22,988,011. There were no property tax secured bond issues.

B. Short-Term Financing Obligations

The County is subject to a constitutional limitation for short-term financing obligations equal to 2.5% of the assessed value of taxable property within the County as determined by the last tax assessment. At December 31, 2010, the legal debt limit for short-term financing obligations was \$6,414,782. There were no short-term financing obligations.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 7: Reserved Fund Balance

Reserved fund balance consists of the following:

	December 31, 2010
<u>General</u>	
Various Fire Departments	\$ 2,262
<u>Road</u>	\$ 3,804,477
<u>Other Funds in the Aggregate</u>	
Special Revenue Funds:	
Office of Emergency Services	\$ 54,580
Clark County Marina	43,851
Indigent Investigator	66,966
Indigent Defense	190,683
County Recorder's Cost	51,339
Support Collection Cost	17,587
Juvenile Probation	4,481
Boating Safety	28,152
Breathalyzer	10,512
District Court Cost	20,035
Victim/Witness	25,958
Emergency 911	550,818
Sheriff's Drug Control	2,349
Disaster Recovery	2,034
Juvenile Work Supervision	115,284
Treasurer's Automation	14,423
Assessor's Amendment no. 79	35,961
Mobile Emergency Operations	4,926
District Court Jail Fee	64,708
Sanitation	788,738
Collector's Automation	178,214
County Clerk's Cost	13,620
District Court Automation	18,534
Fire Department Library Grant	19,282
Circuit Court Automation	26,246
Jail Construction	479,416
Jail Maintenance	892,682
Drug Enforcement	1,680
H & P Sales Grant	1
County Public Library	335,265
Communication Facility and Equipment	30,780
Total Other Funds in the Aggregate	\$ 4,089,105

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 8: General Fund - Designated Fund Balance

General Fund designated fund balance consists of the following:

Description	December 31, 2010
Courthouse Annex	\$ 387,140
Local Emergency Planning	166
Total	<u>\$ 387,306</u>

NOTE 9: Commitments

Total commitments consist of the following at December 31, 2010:

Long-Term Liabilities

Long-Term liabilities at December 31, 2010 are comprised of the following:

	December 31, 2010
Landfill Closure and Postclosure Care Costs	\$ 305,795
Compensated Absences	19,988
Total Long-Term Liabilities	<u>\$ 325,783</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

Landfill Closure and Postclosure Care Costs

Clark County is the owner of permit no. 044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs are being recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The estimated commitment for the landfill closure and postclosure care costs has a balance of \$305,795 as of December 31, 2010, and represents the cumulative amount reported to date based on 98% usage of the landfill. The County will recognize the remaining estimated cost of closure and postclosure care of \$3,591 as the remaining estimated capacity is filled. At the present utilization rate, the landfill site life is estimated to exhaust in four months from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2010. However, the actual cost of closure and postclosure may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated May 23, 2009, in the amount of \$203,485 and in accordance with Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$182,245 in the form of a Contract of Obligation dated June 12, 2007. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$182,245 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly disclose operation.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 9: Commitments (Continued)

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

NOTE 10: Interfund Transfers

Transfers of \$1,162 were made from Other Funds in the Aggregate to the General Fund. Of this amount, \$888 was for correction of an error, \$250 was for reimbursement of office expenses (County Recorder's Cost Fund), and \$24 was to close the Local Law Enforcement Block Grant Fund.

NOTE 11: Joint Ventures

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities, and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court, and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth-East Judicial Districts, the Sheriff's Departments of Clark, Grant, and Hot Spring Counties and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. Though this written agreement expired June 30, 2009, all parties are continuing on the premise of the 2009 agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2010. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

NOTE 12: Risk Management

The County is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 12: Risk Management (Continued)

The County participates in the Association of Arkansas Counties Program (public entity risk pools) for coverage in the following area:

Workers' Compensation - This program provides statutory benefits for losses incurred by County officials, employees, and volunteer fire fighters while performing work for the County. Rates for counties participating in this program are revised annually based on the cost experience of the particular county or group as determined by the Workers' Compensation Commission.

The County participates in the Arkansas Public Entities Risk Management Association (APERMA) public entity risk pool for coverage in the following areas:

Building and Contents Program - This program is a blanket policy with coverage up to \$100,000,000 for any one loss with a \$500 deductible. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county property.

Vehicle Program

- A. Liability - This program may pay all sums the County legally must pay as damages because of bodily injury, death, or property damage to which this agreement applies involving a covered county vehicle and for which the County is liable. The limit of payment for in-state claims is \$25,000 for bodily injury per person, \$50,000 for bodily injury per accident, and \$25,000 for property damage per accident (\$100,000 respectively for out-of-state claims). The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county vehicles owned or leased by the County.
- B. Physical Damage - This program covers vehicles and mobile equipment which are the property of the participating county. Property is valued at the cost to repair or replace the property after deduction for depreciation. Loss amounts will be reduced by the deductible amount of \$1,000 for Sheriff's Department vehicles and \$500 for all other covered vehicles and mobile equipment. The County agrees to pay into the program each year a service charge established annually by the Risk Management Fund Board for covered property.

General Liability Program - The program shall provide legal defense in civil rights suits against the county government of a participating county and pay judgments imposed on County officials and employees and the county government and county-formed boards and commissions. Coverage is limited to \$350,000 per case with an annual aggregate of \$350,000. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for this coverage.

The County also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$250,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the County Aid Fund. There is a \$1,000 deductible per occurrence.

The County also participates in the Volunteers Insurance Service Association administered by CIMA Companies Inc. This program covers designated volunteers participating in volunteer projects through the County (Prisoner Work Release Program, Court Referred Alternative Sentencing Program, and Community Service Program) for accidental death and dismemberment coverage and accidental medical expense coverage. Coverage is limited to \$2,500 for accidental death and dismemberment and \$25,000 per case with a \$200 deductible per occurrence. These premiums are paid by the General Fund.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2010

NOTE 13: Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for PERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, One Union National Plaza, 124 W. Capitol, Little Rock, Arkansas 72201 or by calling 1-800-682-7377.

Funding Policy

PERS has contributory and non-contributory plans. Contributory members are required by code to contribute 5% of their salary. Each participating employer is required by code to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation.

NOTE 14: Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC), was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007 for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,357,884 in 2010. An audit report of the EDCCC has not been provided.

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2010

Schedule 1

	SPECIAL REVENUE FUNDS								
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	County Recorder's Cost	Support Collection Cost	Juvenile Probation	Boating Safety	Breathalyzer
ASSETS									
Cash and cash equivalents	\$ 47,706	\$ 42,322	\$ 66,619	\$ 187,834	\$ 43,565	\$ 17,563	\$ 4,481	\$ 27,847	\$ 10,453
Accounts receivable	6,874	1,529	347	3,056	8,746	24		305	59
TOTAL ASSETS	<u>\$ 54,580</u>	<u>\$ 43,851</u>	<u>\$ 66,966</u>	<u>\$ 190,890</u>	<u>\$ 52,311</u>	<u>\$ 17,587</u>	<u>\$ 4,481</u>	<u>\$ 28,152</u>	<u>\$ 10,512</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable				\$ 207	\$ 972				
Settlements pending									
Total Liabilities				<u>207</u>	<u>972</u>				
Fund Balances:									
Reserved (Note 7)	\$ 54,580	\$ 43,851	\$ 66,966	190,683	51,339	\$ 17,587	\$ 4,481	\$ 28,152	\$ 10,512
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 54,580</u>	<u>\$ 43,851</u>	<u>\$ 66,966</u>	<u>\$ 190,890</u>	<u>\$ 52,311</u>	<u>\$ 17,587</u>	<u>\$ 4,481</u>	<u>\$ 28,152</u>	<u>\$ 10,512</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2010

Schedule 1

	SPECIAL REVENUE FUNDS								
	District Court Cost	Victim/Witness	Emergency 911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation	Assessor Amendment no. 79	Mobile Emergency Operations
ASSETS									
Cash and cash equivalents	\$ 19,399	\$ 23,674	\$ 548,061	\$ 2,349	\$ 2,255	\$ 115,274	\$ 13,336	\$ 31,399	\$ 4,926
Accounts receivable	1,049	2,284	8,749			10	1,396	4,562	
TOTAL ASSETS	<u>\$ 20,448</u>	<u>\$ 25,958</u>	<u>\$ 556,810</u>	<u>\$ 2,349</u>	<u>\$ 2,255</u>	<u>\$ 115,284</u>	<u>\$ 14,732</u>	<u>\$ 35,961</u>	<u>\$ 4,926</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable	\$ 413		\$ 5,992		\$ 221		\$ 309		
Settlements pending									
Total Liabilities	<u>413</u>		<u>5,992</u>		<u>221</u>		<u>309</u>		
Fund Balances:									
Reserved (Note 7)	20,035	\$ 25,958	550,818	\$ 2,349	2,034	\$ 115,284	14,423	\$ 35,961	\$ 4,926
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 20,448</u>	<u>\$ 25,958</u>	<u>\$ 556,810</u>	<u>\$ 2,349</u>	<u>\$ 2,255</u>	<u>\$ 115,284</u>	<u>\$ 14,732</u>	<u>\$ 35,961</u>	<u>\$ 4,926</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2010

Schedule 1

	SPECIAL REVENUE FUNDS									
	District Court Jail Fee	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation	Fire Department Library Grant	Circuit Court Automation	Jail Construction	Jail Maintenance	Drug Enforcement
ASSETS										
Cash and cash equivalents	\$ 64,364	\$ 749,276	\$ 139,956	\$ 12,619	\$ 18,309	\$ 19,279	\$ 26,028	\$ 479,416	\$ 876,751	\$ 1,680
Accounts receivable	3,659	63,531	50,405	1,001	225	3	218		17,016	
TOTAL ASSETS	<u>\$ 68,023</u>	<u>\$ 812,807</u>	<u>\$ 190,361</u>	<u>\$ 13,620</u>	<u>\$ 18,534</u>	<u>\$ 19,282</u>	<u>\$ 26,246</u>	<u>\$ 479,416</u>	<u>\$ 893,767</u>	<u>\$ 1,680</u>
LIABILITIES AND FUND BALANCES										
Liabilities:										
Accounts payable	\$ 3,315	\$ 24,069							\$ 1,085	
Settlements pending			\$ 12,147							
Total Liabilities	<u>3,315</u>	<u>24,069</u>	<u>12,147</u>						<u>1,085</u>	
Fund Balances:										
Reserved (Note 7)	64,708	788,738	178,214	\$ 13,620	\$ 18,534	\$ 19,282	\$ 26,246	\$ 479,416	892,682	\$ 1,680
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 68,023</u>	<u>\$ 812,807</u>	<u>\$ 190,361</u>	<u>\$ 13,620</u>	<u>\$ 18,534</u>	<u>\$ 19,282</u>	<u>\$ 26,246</u>	<u>\$ 479,416</u>	<u>\$ 893,767</u>	<u>\$ 1,680</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2010

Schedule 1

	SPECIAL REVENUE FUNDS			AGENCY FUNDS						
	H & P Sales Grant	County Public Library	Communication Facility and Equipment	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge's Account	Totals
ASSETS										
Cash and cash equivalents	\$ 1	\$ 321,166	\$ 30,780	\$ 626,127	\$ 64,732	\$ 28,166	\$ 706	\$ 56,198	\$ 30,781	\$ 4,755,398
Accounts receivable		16,997								192,045
TOTAL ASSETS	<u>\$ 1</u>	<u>\$ 338,163</u>	<u>\$ 30,780</u>	<u>\$ 626,127</u>	<u>\$ 64,732</u>	<u>\$ 28,166</u>	<u>\$ 706</u>	<u>\$ 56,198</u>	<u>\$ 30,781</u>	<u>\$ 4,947,443</u>
LIABILITIES AND FUND BALANCES										
Liabilities:										
Accounts payable		\$ 2,898								\$ 39,481
Settlements pending				\$ 626,127	\$ 64,732	\$ 28,166	\$ 706	\$ 56,198	\$ 30,781	818,857
Total Liabilities		<u>2,898</u>		<u>626,127</u>	<u>64,732</u>	<u>28,166</u>	<u>706</u>	<u>56,198</u>	<u>30,781</u>	<u>858,338</u>
Fund Balances:										
Reserved (Note 7)	\$ 1	335,265	\$ 30,780							4,089,105
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 1</u>	<u>\$ 338,163</u>	<u>\$ 30,780</u>	<u>\$ 626,127</u>	<u>\$ 64,732</u>	<u>\$ 28,166</u>	<u>\$ 706</u>	<u>\$ 56,198</u>	<u>\$ 30,781</u>	<u>\$ 4,947,443</u>

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2010

Schedule 2

	SPECIAL REVENUE FUNDS							
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	County Recorder's Cost	Support Collection Cost	Juvenile Probation	Boating Safety
REVENUES								
State aid				\$ 2,000				\$ 2,863
Federal aid	\$ 42,718							
Property taxes								
Sales taxes								
Fines, forfeitures, and costs			\$ 7,048	22,270				
Interest	775	\$ 745	873	2,614	\$ 717	\$ 229	\$ 89	381
Officers' fees					113,845	3,991		
911 Surcharges								
Sanitation fees								
Treasurer's commission								
Collector's commission								
Other	8,275	19,695		37	1,414			
TOTAL REVENUES	51,768	20,440	7,921	26,921	115,976	4,220	89	3,244
Less: Treasurer's commission	10	289	113	332	1,635	61	1	47
NET REVENUES	51,758	20,151	7,808	26,589	114,341	4,159	88	3,197
EXPENDITURES								
Current:								
General government		24,703			119,355			
Law enforcement			1,631	32,298			2,127	
Public safety	45,418							1,698
Sanitation								
Recreation and culture								
TOTAL EXPENDITURES	45,418	24,703	1,631	32,298	119,355		2,127	1,698
EXCESS OF REVENUES OVER (UNDER)								
EXPENDITURES	6,340	(4,552)	6,177	(5,709)	(5,014)	4,159	(2,039)	1,499
OTHER FINANCING SOURCES (USES)								
Transfers out					(1,138)			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	6,340	(4,552)	6,177	(5,709)	(6,152)	4,159	(2,039)	1,499
FUND BALANCES - JANUARY 1	48,240	48,403	60,789	196,392	57,491	13,428	6,520	26,653
FUND BALANCES - DECEMBER 31	\$ 54,580	\$ 43,851	\$ 66,966	\$ 190,683	\$ 51,339	\$ 17,587	\$ 4,481	\$ 28,152

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2010

Schedule 2

	SPECIAL REVENUE FUNDS								
	Breathalyzer	District Court Cost	Victim/Witness	Emergency 911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation	Assessor Amendment no. 79
REVENUES									
State aid									\$ 4,527
Federal aid									
Property taxes									
Sales taxes									
Fines, forfeitures, and costs	\$ 1,202	\$ 22,591	\$ 44,978	\$ 6,767	\$ 32	\$ 34	\$ 1,657	\$ 80	431
Interest	221	200	465						
Officers' fees									
911 Surcharges				230,444					
Sanitation fees									
Treasurer's commission								18,250	
Collector's commission									
Other			350	117,594					
TOTAL REVENUES	1,423	22,791	45,793	354,805	32	34	1,657	18,330	4,958
Less: Treasurer's commission	21	328	596	5,108	1	1	23	2	89
NET REVENUES	1,402	22,463	45,197	349,697	31	33	1,634	18,328	4,869
EXPENDITURES									
Current:									
General government								12,667	
Law enforcement	9,071	14,107							
Public safety			63,818	105,658		717	17,559		
Sanitation									
Recreation and culture									
TOTAL EXPENDITURES	9,071	14,107	63,818	105,658		717	17,559	12,667	
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(7,669)	8,356	(18,621)	244,039	31	(684)	(15,925)	5,661	4,869
OTHER FINANCING SOURCES (USES)									
Transfers out									
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(7,669)	8,356	(18,621)	244,039	31	(684)	(15,925)	5,661	4,869
FUND BALANCES - JANUARY 1	18,181	11,679	44,579	306,779	2,318	2,718	131,209	8,762	31,092
FUND BALANCES - DECEMBER 31	\$ 10,512	\$ 20,035	\$ 25,958	\$ 550,818	\$ 2,349	\$ 2,034	\$ 115,284	\$ 14,423	\$ 35,961

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2010

Schedule 2

	SPECIAL REVENUE FUNDS								
	Mobile Emergency Operations	District Court Jail Fee	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation	Fire Department Library Grant	Circuit Court Automation
REVENUES									
State aid				\$ 15,039					
Federal aid									
Property taxes				106,100					
Sales taxes				136,261					
Fines, forfeitures, and costs		\$ 62,428							
Interest	\$ 70	604		11,955	\$ 1,847	\$ 137	\$ 221	\$ 535	\$ 359
Officers' fees						12,828	6,382		4,342
911 Surcharges									
Sanitation fees				454,208					
Treasurer's commission									
Collector's commission					44,321				
Other				26,966		6	876		
TOTAL REVENUES	70	63,032		750,529	46,168	12,971	7,479	535	4,701
Less: Treasurer's commission	2	894		10,694	26	182	98	8	68
NET REVENUES	68	62,138		739,835	46,142	12,789	7,381	527	4,633
EXPENDITURES									
Current:									
General government					11,834	16,650			8,259
Law enforcement		16,144					2,237		
Public safety	718							26,946	
Sanitation				781,147					
Recreation and culture									
TOTAL EXPENDITURES	718	16,144		781,147	11,834	16,650	2,237	26,946	8,259
EXCESS OF REVENUES OVER (UNDER)									
EXPENDITURES	(650)	45,994		(41,312)	34,308	(3,861)	5,144	(26,419)	(3,626)
OTHER FINANCING SOURCES (USES)									
Transfers out			\$ (24)						
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(650)	45,994	(24)	(41,312)	34,308	(3,861)	5,144	(26,419)	(3,626)
FUND BALANCES - JANUARY 1	5,576	18,714	24	830,050	143,906	17,481	13,390	45,701	29,872
FUND BALANCES - DECEMBER 31	\$ 4,926	\$ 64,708	\$ 0	\$ 788,738	\$ 178,214	\$ 13,620	\$ 18,534	\$ 19,282	\$ 26,246

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2010

Schedule 2

	SPECIAL REVENUE FUNDS								
	Jail Construction	Jail Maintenance	Danfoss Arkansas Community and Economic Development (ACED) Grant	Drug Enforcement	H & P Sales Grant	Clark County Business Park Grant	County Public Library	Communication Facility and Equipment	Totals
REVENUES									
State aid		\$ 30,078				\$ 60,000	\$ 30,077		\$ 144,584
Federal aid			\$ 5,553						48,271
Property taxes		218,470					212,244		536,814
Sales taxes									136,261
Fines, forfeitures, and costs									160,517
Interest	\$ 5,993	10,072		\$ 5			4,003	\$ 12	52,123
Officers' fees								5,163	146,551
911 Surcharges									230,444
Sanitation fees									454,208
Treasurer's commission									18,250
Collector's commission									44,321
Other							2,034	7,850	185,097
TOTAL REVENUES	5,993	258,620	5,553	5		60,000	248,358	13,025	2,157,441
Less: Treasurer's commission		3,629					3,473		27,731
NET REVENUES	5,993	254,991	5,553	5		60,000	244,885	13,025	2,129,710
EXPENDITURES									
Current:									
General government			5,553			60,000			259,021
Law enforcement		39,528		80				21,832	139,055
Public safety									262,532
Sanitation									781,147
Recreation and culture							277,741		277,741
TOTAL EXPENDITURES		39,528	5,553	80		60,000	277,741	21,832	1,719,496
EXCESS OF REVENUES OVER (UNDER)									
EXPENDITURES	5,993	215,463		(75)			(32,856)	(8,807)	410,214
OTHER FINANCING SOURCES (USES)									
Transfers out									(1,162)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	5,993	215,463		(75)			(32,856)	(8,807)	409,052
FUND BALANCES - JANUARY 1	473,423	677,219		1,755	\$ 1		368,121	39,587	3,680,053
FUND BALANCES - DECEMBER 31	\$ 479,416	\$ 892,682	0	\$ 1,680	\$ 1	0	\$ 335,265	\$ 30,780	\$ 4,089,105

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2010

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Office of Emergency Services	Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake.
Indigent Investigator	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for defense of indigents.
Indigent Defense	Ark. Code Ann. § 14-20-102 established fund to receive funds distributed in accordance with Ark. Code Ann. § 16-10-307 to be used to pay reasonable and necessary costs incurred in the defense and representation of indigent persons.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive fees collected by circuit clerks to be used for automated record systems and any legitimate county purpose.
Support Collection Cost	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.
Juvenile Probation	Ark. Code Ann. § 16-13-326 established fund to collect juvenile fees and provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continues to finance this fund used for the acquisition and operation of intoxication detection equipment.
District Court Cost	Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court cost levied to be used by Prosecuting Attorney for operating victim/witness program.
Emergency 911	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by telephone providers for 911 emergency services.
Sheriff's Drug Control	Ark. Code Ann. § 5-64-505 established fund to receive asset forfeitures resulting from drug offense cases due to arresting agency.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2010

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Disaster Recovery	Ark. Code Ann. § 12-75-123 established fund to receive federal and state aid to be used for occurrence of a major emergency or disaster.
Juvenile Work Supervision	Fund was established to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to ten percent of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated record keeping system.
Assessor Amendment no. 79	Ark. Code Ann. § 26-26-310 provides that one percent of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the purpose of administering Arkansas Constitution, Amendment no. 79.
Mobile Emergency Operations	Ark. Code Ann. § 12-75-123 established fund to receive federal and state aid to be used for occurrence of a major emergency or disaster.
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony for the maintenance, operation, and capital expenditures of a county jail/regional detention facility.
Local Law Enforcement Block Grant	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive aid from the Local Law Enforcement Block Grant program to be used to purchase equipment for the Sheriff's office.
Sanitation	Established to account for sales taxes designated by Clark County Ordinance no. 299 (June 14, 1988) and sanitation fees collected for the operation of the County Sanitation Department.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to ten percent of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
County Clerk's Cost	Ark. Code Ann. § 21-6-413 established fund to receive fees collected by county clerks to be used for automated record systems and any legitimate county purpose.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.
Fire Department Library Grant	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund under Act 1349 of 2001 to receive miscellaneous grants for volunteer and rural fire departments to set up a training facility to be used by Clark County Rural Fire Departments.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2010

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive 50% of all revenues collected from installment fees by the Circuit Court to be used for court related technology expenditures.
Jail Construction	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.
Danfoss Arkansas Community and Economic Development (ACED) Grant	Fund established to process grant money from the Arkansas Community and Economic Development Program. Clark County Ordinance no. 2011-2 (March 14, 2011) subsequently established/recognized the fund.
Drug Enforcement	Ark. Code Ann. § 14-21-201 established fund to receive appropriated county funds to be used for direct expenses associated with the investigation of criminal drug laws.
H & P Sales Grant	Clark County Ordinance no. 2007-11 (September 11, 2007) established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for constructing a facility for H & P Sales in Clark County.
Clark County Business Park Grant	Clark County Ordinance no. 2010-8 (September 14, 2010) established fund to account for the 2009 General Improvement Fund Regional Infrastructure grant program awarded by the Arkansas Economic Development Commission.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for library property tax millage levied by the Quorum Court.
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of Sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.

Treasurer's accounts consist primarily of commissions, property taxes, and grants not yet distributed to the appropriate entities.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fees and bonds not yet settled.

County Clerk's accounts consist primarily of trust money awaiting disposition by the applicable court.

Circuit Clerk's accounts consist of trust money and settlements due to Treasurer.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

CLARK COUNTY, ARKANSAS
SUPPLEMENTARY INFORMATION
SCHEDULE OF CAPITAL ASSETS
DECEMBER 31, 2010
(Unaudited)

Schedule 3

	December 31, 2010
Land	\$ 523,084
Buildings	6,538,308
Construction In Progress	112,159
Equipment	<u>7,442,362</u>
Total	<u>\$ 14,615,913</u>

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - REGULATORY BASIS
DECEMBER 31, 2010
(Unaudited)

Schedule 4

<u>General</u>	2010	2009	2008	2007	2006
Total Assets	\$ 1,367,377	\$ 1,557,020	\$ 1,857,749	\$ 1,547,063	\$ 1,515,094
Total Liabilities	49,583	106,837	158,930	0	0
Total Fund Balances	1,317,794	1,450,183	1,698,819	1,547,063	1,515,094
Net Revenues	3,820,661	3,870,831	3,899,885	3,794,790	3,853,942
Total Expenditures	3,954,212	4,164,683	4,110,205	3,786,728	4,096,506
Total Other Financing Sources/Uses	1,162	45,216	82,644	23,907	(3,078)
<u>Road</u>					
Total Assets	\$ 3,865,134	\$ 3,496,964	\$ 3,223,104	\$ 3,104,421	\$ 2,943,927
Total Liabilities	60,657	133,802	12,751	0	0
Total Fund Balances	3,804,477	3,363,162	3,210,353	3,104,421	2,943,927
Net Revenues	2,965,520	2,737,528	2,836,732	2,577,870	2,581,678
Total Expenditures	2,524,205	2,584,719	2,871,768	2,417,376	2,063,444
Total Other Financing Sources/Uses	0	0	0	0	(580)
<u>Other Funds in the Aggregate</u>					
Total Assets	\$ 4,947,443	\$ 4,825,202	\$ 4,563,186	\$ 4,872,958	\$ 4,591,387
Total Liabilities	858,338	1,145,149	1,112,841	1,035,874	991,983
Total Fund Balances	4,089,105	3,680,053	3,450,345	3,837,084	3,599,404
Net Revenues	2,129,710	1,980,400	3,746,207	2,450,591	1,962,544
Total Expenditures	1,719,496	1,705,476	4,115,168	2,189,003	1,838,363
Total Other Financing Sources/Uses	(1,162)	(45,216)	(82,644)	(23,907)	3,658

The financial statements are prepared on the regulatory basis of accounting as reported in Note 1(C) of the audit reports.